

Micron Technology, Inc.

MU NASDAQ

Hold	\$872.21 ▼ 5.29%	12M Price Target \$1050.00	52-Week Range \$103.38 – \$1255.00	Market Cap \$985.07B
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MU: China's CXMT IPO Rattles Memory — But Moat Intact

WHAT HAPPENED

- MU got smoked -5.3% today, capping a brutal ~30% July drawdown. The trigger: China's CXMT (their national champion memory maker) had a blockbuster IPO debut valued at \$484 billion. That's a wake-up call — China now has publicly-funded firepower to attack the memory market, and the whole sector puked (SanDisk -12%, SK Hynix -8%).
- Notable: volume today was LOWER than the up days last week (21M vs 40M+). That tells me this is fear-selling into thin summer liquidity, not institutional dumping. Options flow is actually leaning bullish (P/C 0.96, huge \$860 call buying at 100x open interest) — someone big is betting this is overdone.

WHY IT MATTERS

Here's what to actually think about: CXMT is real competition, but ONLY in commodity DRAM and NAND — the low-margin stuff. Micron's crown jewel right now is HBM (High Bandwidth Memory), the specialized chips that go into every Nvidia AI GPU, and CXMT is years behind on that. The Benzinga headline nailed it: "China Is Coming For SanDisk—But Not Yet For Micron's Memory Crown." So the market is throwing MU out with the bathwater. The bigger picture: if the AI capex cycle from hyperscalers keeps running (Microsoft, Meta, Google all just raised 2026 capex guides), HBM demand stays supply-constrained regardless of what CXMT does in commodity chips. This selloff may be creating a setup, not signaling a top.

POLICY & POLITICAL WATCH

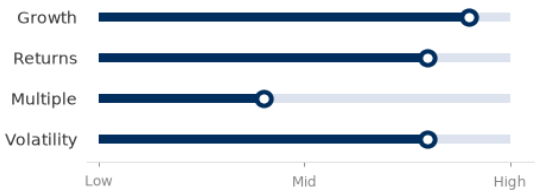
This is where it gets interesting: the CHIPS Act 2.0 discussions are heating up in Congress, and the Trump administration's export controls on advanced memory to China were tightened in Q2. Micron received ~\$6.1B in CHIPS Act grants for its Idaho and NY fabs — that money is already flowing. The CXMT IPO will likely ACCELERATE bipartisan calls for more subsidies and tougher export controls, which is a net positive for MU. Watch for: (1) any executive action restricting HBM exports to China (bullish for MU pricing power), and (2) tariff escalation on Chinese memory imports — the administration has hinted at this. If Section 301 tariffs get extended to memory chips, CXMT can't dump into the US market and MU's moat gets wider.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$872.21
12M Price Target	\$1050.00
Upside / (Downside)	+20.4%
Market Cap	\$985.07B
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$58,200M
FY2026E EPS	\$42.50
FY2027E EPS	\$55.00
Fwd P/E	20.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$950.00	\$880.00	\$780.00
6 Months	\$1150.00	\$980.00	\$750.00
1 Year	\$1350.00	\$1050.00	\$720.00
2 Years	\$1600.00	\$1200.00	\$650.00
5 Years	\$2200.00	\$1400.00	\$500.00
10 Years	\$3500.00	\$1800.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Defensive sectors — Consumer Staples (+2.6%), Real Estate (+2.3%), Financials (+2.0%). This is a classic "risk-off" rotation day where money runs from high-beta semis into safe yield.

COOLING OFF: Semiconductors broadly, especially memory names. The CXMT IPO is being treated as a structural threat, not a one-day story.

ROTATION WATCH: Money is rotating OUT of Asia-exposed semis and INTO domestic cyclical and yield. That's temporary — if the Fed stays dovish and AI capex numbers come in strong next earnings season, this reverses fast.

RELATED PLAY: If you believe the China threat is overblown for HBM specifically, look at Nvidia (NVDA) and Broadcom (AVGO) — they're the DEMAND side of HBM and benefit if MU's supply stays tight. Also watch Applied Materials (AMAT) — semi equipment makers get paid whether it's MU, SK Hynix, or CXMT building fabs.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Custom AI silicon demand keeps ripping, less exposed to memory commodity risk
- Defensive names like PG, KO, COST: Not because they're winning — because they're where scared money is hiding today

MU CONTEXT: MU is LAGGING the peer group hard right now (down 30% in July while broader semis are down maybe 8-10%). That's overdone relative to fundamentals — the market is pricing in a China threat that's still 3-5 years from materializing in HBM. Historically when MU underperforms peers by this much, it snaps back within 60-90 days IF the earnings call doesn't disappoint.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$820-850 on further China panic

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing rolls over or Samsung/SK Hynix cede share to CXMT in DRAM

Hedging: Long SOXX puts or pair against SanDisk (more directly exposed to Chinese NAND competition)